

Canada Under Pressure

US Tariff Threats, Energy Export Strategy, and the Immigration Reckoning

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Executive Summary

Canada enters the second half of the 2020s under compounding structural stress. Prime Minister Mark Carney's government — staffed heavily with private-sector executives — inherited an economy where rate-cut tailwinds were beginning to stir growth, yet the country remained deeply exposed to US trade policy turbulence, an unresolved housing affordability crisis amplified by one of the fastest population growth rates in the Northern Hemisphere, and a long-deferred NATO defence spending obligation that has now become a geopolitical liability. On the energy front, new offshore conventional fields represent an upside, but oil sands production growth is projected to decelerate through mid-century as the liquids mix shifts. Canada's AI and technology ambitions are genuine but under-resourced at the workforce level. The strategic picture is one of a mid-power with significant latent assets — energy, Arctic territory, a university-educated immigration intake — that is structurally under-leveraged and exposed to a single dominant trade partner.

1. Political Economy: Carney's Government and the Trade-War Overhang

Mark Carney assumed the prime ministership having previously governed both the Bank of Canada and the Bank of England, and his first budget was presented in a climate explicitly framed around managing rupture with the United States. At Davos in January 2026, Carney warned of a "rupture, not transition" in the world order, describing Washington in terms that drew immediate rebuttal from the Trump administration — Trump responded on Truth Social, questioning whether Carney planned to make Canada a channel for Chinese goods into the American market FT[2026-01-26]. The political context is significant: Carney defeated Pierre Poilievre, a more overtly Trumpian figure, and deliberately differentiated himself through his internationalist central-banking credentials and his warning to Canadian voters to "beware cut hasty side-deals with Trump" FT[2025-04-30].

His first budget was notable for the degree to which it imported private-sector executives into government. Ontario Premier Doug Ford described the appointments approvingly, noting they "bring the party" with financial expertise FT[2025-11-04]. The governing posture — labelled by observers as running Canada like a CEO — reflects a strategic bet that technocratic credibility can insulate the country from trade brinkmanship, though the structural dependencies remain unchanged.

The Bank of Canada cut rates by 0.25 percentage points in March 2025 as the economy showed signs of picking up speed from prior rate reductions, with fourth-quarter GDP growth reaching momentum even as inflation remained a concern FT[2025-03-10]. By early 2026, IMF chief economist Gita Gopinath characterised the Canadian economy as pointing toward being "very hot," while economists

simultaneously warned that the tariff threat and general policy uncertainty from Washington had already shifted the calculus for central banks that would previously have been reluctant to move away from the Fed FT[2025-02-08]. The Bank of Canada was seen as likely to cut further than markets expected FT[2025-01-27], with easing justified by uncertainty rather than weakness.

2. Immigration Overshoot and the Population Growth Dilemma

Canada experienced the largest proportional population change among Northern American nations between 2009 and 2019, at 11% — substantially above the United States over the same period [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2020]. This trajectory has accelerated since 2022 as Ottawa pursued an aggressive immigration intake strategy to offset an ageing population and fill structural labour shortages. The result has been a demographic boom that the housing stock was not built to absorb.

The UN World Population Prospects 2024 notes that immigration is projected to be the main driver of future population growth for a significant cohort of high-income countries; Canada is among the clearest exemplars of this dynamic, where immigration attenuates demographic decline but simultaneously intensifies urban infrastructure pressures [RAG: DEMOGRAPHICS_RAG — UN World Population Prospects 2024]. Canada's history with this tension is long: colonial-era administrators observed as early as the 1860s that a majority of immigrants arriving in Canada were subsequently drawn south to the United States, creating a structural human-capital leakage that has periodically re-emerged as a policy concern [RAG: EDUCATION_RAG — brain drain and emigration studies].

The political consequence of immigration overshoot — intake volumes that outstripped homebuilding and public service capacity — contributed materially to the cost-of-living pressures that made the 2025 federal election competitive. Carney inherited both the overshoot and the political fallout. The Carney government has since signalled a recalibration of intake targets, framing it as responsible fiscal management rather than a retreat from openness, but the housing affordability crisis will not resolve on a political cycle — it requires a multi-year construction response that is only beginning to be mobilised.

3. Energy: Oil Sands, Offshore Fields, and Export Diversification

Canada's long-run liquids supply profile, according to OPEC's World Oil Outlook, shows oil sands as the dominant unconventional contributor through 2050, with other sources — conventional crude, tight crude, and NGLs — projected to remain broadly flat [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2024, p.161]. The near-term story is more dynamic: on Canada's East Coast, the West White Rose conventional offshore field, operated by Cenovus, is set to come online in 2026 adding 75 thousand barrels per day to the existing White Rose complex, while the larger Bay du Nord field is anticipated from 2028 onwards [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2025, p.184]. These conventional offshore additions represent a meaningful diversification of Canada's production base away from the capital-intensive and carbon-intensive oil sands complex.

On export routing, OPEC projects that combined US and Canadian crude and condensate exports will flow primarily to Latin America, Europe, and Asia-Pacific through to 2050, with local use by both countries representing a significant portion of total combined output [RAG: OIL_ENERGY_RAG — OPEC World Oil Outlook 2025, p.259]. The Trans Mountain Pipeline expansion — which opened a tidewater route to Asia-Pacific markets — is the structural shift that allows Canada to reduce its dependence on a single US buyer, though the vast majority of Canadian crude will continue to flow south for the foreseeable future given existing infrastructure economics.

The EIA's International Energy Outlook had already identified Canada as one of the leading non-OPEC crude producers alongside Russia, Brazil, and Kazakhstan, with Canadian output growth modest over the 2015-2040 horizon in the reference case [RAG: LNG_ENERGY_RAG — EIA International Energy Outlook 2017, p.22]. The strategic challenge for Canada is that the oil sands are both its most abundant resource and its most contested — environmentally, geopolitically, and financially — which creates a structural tension between energy security ambitions and decarbonisation commitments.

4. Defence, Arctic Sovereignty, and the NATO Spending Gap

Canada's defence posture has become a acute liability in the Trump era. The NATO 2% GDP spending target — reaffirmed by allies in 2014 and still unmet by Canada as of 2026 — has been cited explicitly by commentators noting the irony that Carney criticised Washington as a "hegemon" at Davos while Canada was still only projecting to reach the 2% target by 2030 FT[2026-01-26]. The capability deficit between Canada (and most European NATO members) and the US was thrown into stark relief by Washington's airstrikes against Iran in 2025, which demonstrated operational reach that no other alliance member could replicate CNA[2025-06-25].

Canada responded with a concrete step in June 2026: a US\$1.8 billion deal with Australia for advanced over-the-horizon radar technology, specifically designed for Arctic surveillance. Australia's Deputy Prime Minister Marles noted that "just like Australia, Canada has large areas to surveil," and the agreement covers establishment of the first radar site in the first stage of an over-the-horizon radar network. The deal will support approximately 300 technical jobs in Australia CNA[2026-06-22]. The strategic significance is considerable: over-the-horizon radar is the foundational layer of Arctic domain awareness, and Canada's purchase of Australian-developed Jindalee-class technology represents a meaningful capability investment, even if it remains the initial site of a planned network rather than operational coverage.

Arctic sovereignty itself has been a long-running Canadian strategic preoccupation. Canada launched a mission in 2014 to map the seabed surrounding the North Pole as part of a UN application to vastly expand its Arctic sea boundary, following years of survey work CNA[2014-08-09]. Canada had already signalled its intention to claim the North Pole in December 2013 when it filed its initial UN application to the Commission on the Limits of the Continental Shelf CNA[2013-12-20]. The erosion of Arctic governance norms — driven by Trump's Greenland musings and Russia's bad-faith challenges to the Svalbard Treaty — poses a structural threat to the rules-based framework on which Canada's Arctic claims depend CNA[2025-04-23]. Canada is one of four NATO members among the five Arctic littoral states, giving it both a stake and a seat in the alliance's northern strategic calculus.

5. China Decoupling and Trade Diversification

Canada's relationship with China has been entangled in the broader US-driven push for de-risking and supply-chain diversification. The G7 summit in May 2023 — which Canada attended with Trudeau — settled on the language of "de-risk" rather than "decouple," a distinction that analysts interpreted as reflecting the complexity of disengaging from the world's second-largest economy CNA[2023-05-22]. China's Foreign Minister Wang Yi explicitly warned against "knee-jerk" calls for decoupling at the Munich Security Conference in February 2026, describing the Rubio-Wang meeting on the sidelines as "positive and constructive" — a signal that Beijing was trying to hold open channels with Washington even as it pushed back on structural decoupling pressure CNA[2026-02-14].

For Canada, the practical dimension of China decoupling runs through both export markets and technology supply chains. The US is pressing its trading partners to ensure that goods exported to the US do not serve as conduits for Chinese content — a dynamic that affects Canadian manufacturers with

integrated North American supply chains. Trump's trade adviser and the broader USTR posture on trans-shipment rules create compliance risk for Canadian exporters in sectors ranging from steel to automotive CNA[2025-07-04]. Canada's CPTPP membership — the successor agreement to the TPP after the US withdrawal — provides a multilateral trade architecture with Asia-Pacific partners that is distinct from the US-China bilateral framing, and that architecture is becoming more strategically relevant as Washington's unilateralism intensifies [RAG: ASEAN_DATA_RAG — Trans-Pacific Partnership and CPTPP].

The Arctic diamond industry offers a cautionary case study in the risks of dependence on Chinese demand: the decline in diamond prices driven by lower growth in Chinese jewellery demand had already dulled the appeal of Canada's Northwest Territories diamond sector by 2015, with exploration spending forecast to fall and long-term prospects weakened by reduced activity CNA[2015-10-27]. The structural message — that commodity sectors dependent on Chinese demand face periodic volatility from Chinese domestic cycles — applies across Canada's resource export base.

6. Technology and AI: Ambition Ahead of Workforce Readiness

Canada has genuine AI research credentials — the country is home to foundational deep learning research, and its universities produced several of the researchers who defined the current AI era. The strategic question, as of 2025-2026, is whether those credentials translate into industrial competitiveness. Research from the Center for Security and Emerging Technology (CSET) at Georgetown argues that Canada is missing a critical opportunity to prepare its workforce for an AI-enabled future: AI adoption remains low, and the real impact of the technology will be felt in job transformation rather than job replacement — but the country is not yet training for that transition [RAG: SCI_TECH_RAG — CSET, "Canada could lead on AI — if we're willing to train for it," 2025-06-04]. One of the co-authors of that analysis was identified as an incoming researcher at the Bank of Canada's Model Development and Research Division, suggesting that the central bank is beginning to integrate AI-capability assessment into its analytical framework [RAG: SCI_TECH_RAG — CSET, 2025-06-04].

The broader technology policy context — including Canada's inclusion in US export control white-lists for sensitive technologies — reflects the country's Five Eyes alignment and its positioning as a trusted technology partner rather than a strategic competitor [RAG: SCI_TECH_RAG — Carnegie, "US-Japan Innovation and Technology Cooperation," 2022]. Canada was included in the initial 2020 white list of exempted countries alongside Australia and the United Kingdom, positioning it advantageously for joint development in sensitive technology domains. The question is whether Ottawa can translate that positioning into domestic industrial capacity before the window narrows.

Outlook

Canada's medium-term trajectory depends on three variables that are simultaneously in motion and partially in conflict. First, the US trade relationship: Carney's strategy of managed nationalism — asserting sovereignty without precipitating rupture — is the right instinct, but it is vulnerable to unilateral US escalation. Canada cannot durably diversify its trade exposure without either a decade of infrastructure investment (energy export terminals, trans-Pacific logistics) or a significant reshaping of its manufacturing base, neither of which is achievable on a political cycle. Second, population and housing: the immigration recalibration is necessary but will take years to translate into affordability relief; the political costs of the overshoot will be felt before the structural correction is visible. Third, Arctic and defence: the radar deal with Australia and the projected path to 2% NATO spending by 2030 represent the minimum credible response to alliance pressure, but they do not close the capability gap that the Iran strikes exposed. Canada remains a consumer of US security rather than a meaningful contributor to it —

a position that is strategically comfortable in a rules-based order but exposed in the unilateral era that Trump has consolidated.

The energy upside — Bay du Nord, West White Rose, incremental oil sands — is real and material, but it is bounded by pipeline politics, carbon pricing constraints, and the long-run demand trajectory for fossil fuels in a decarbonising world. Canada's AI and technology sector has structural potential that remains under-realised. The most accurate summary of Canada's position as of mid-2026 is a country with strong fundamentals, significant structural vulnerabilities, and a new government that is competent but operating in a geopolitical environment where competence alone is insufficient.

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All figures sourced from CivilisationOS RAG corpus.